

WTO Accession, PNTR, and U.S. Import Quantities and Prices

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Talk Roadmap (12 min)

- Research question and policy context
- Data and empirical strategy
- Main results and event-study evidence
- Limitations, robustness, and next steps

Background

Research Question

Thesis question

How did the resolution of U.S. trade-policy uncertainty around China (PNTR in 2000, WTO accession in 2001/2002 implementation) affect:

- import quantities into the U.S., and
- import prices paid by U.S. buyers?

Policy Timing and Identification Intuition

- Pre-2001: China receives renewable NTR treatment; there is a risk for not receiving NTR, causing uncertainty to be priced into products.
- 2000: U.S. grants PNTR (legal permanence conditional on WTO accession).
- Dec 2001 / Jan 2002: WTO accession and operational transition.

Identification idea

Products with larger pre-period NTR gaps should respond more after policy uncertainty is resolved.

$$\text{Exposure}_p = \text{gap_pre}_p = (\text{non-NTR tariff})_p - (\text{NTR tariff})_p$$

Identification idea

Data and Sample

Data sources

- USITC monthly imports by product and HTS.
- Tariff schedule information used to construct product-level `gap_pre`.

Panel and outcomes

- Product-month panel .
- Outcomes: `ln_customs_value`, `ln_first_unit_qty`, `ln_unit_value`.

Baseline Specification

Two-way FE DiD

$$Y_{pt} = \beta (\text{HighGap}_p \times \text{Post}_t) + \delta_p + \lambda_t + \varepsilon_{pt}$$

- Y_{pt} : log import value, log quantity, or log unit value.
- δ_p : product fixed effects.
- λ_t : time fixed effects.
- SEs clustered at product level.

Main DiD Results (Current Outputs)

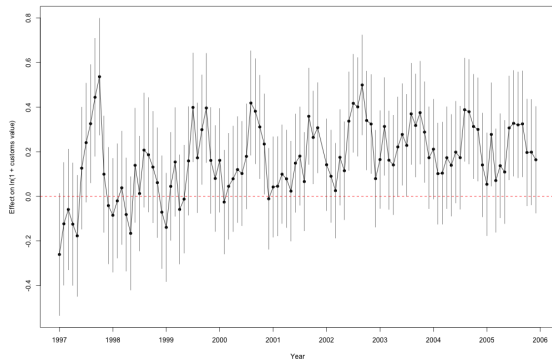
Binary treatment (HighGap x Post) with product and date FE

- $\ln_customs_value$: $\hat{\beta} \approx 0.121$ (s.e. 0.031), positive and significant.
- $\ln_first_qty$: $\hat{\beta} \approx 0.145$ (s.e. 0.036), positive and significant.
- $\ln_unit_value$: $\hat{\beta} \approx -0.024$ (s.e. 0.017), negative but not strongly significant in FE spec.

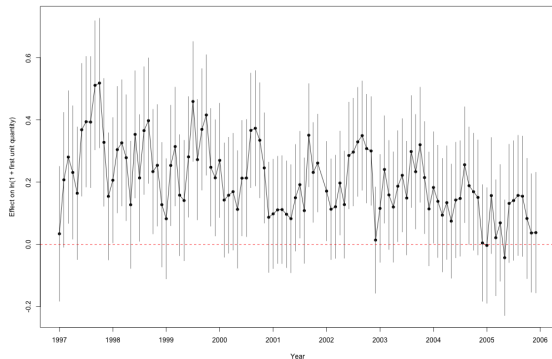
Interpretation

- High-gap products show stronger post-policy growth in value and quantity.
- Price effects are weaker in the binary split and clearer in continuous treatment.

Event Study: Value and Quantity

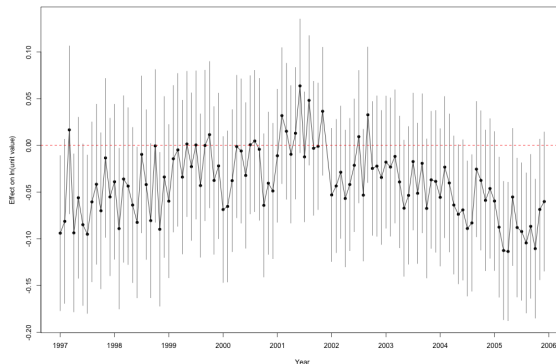


Value event study



Quantity event study

Event Study: Unit Value (Price Proxy)



Continuous-treatment pre-trend test for unit value: $p \approx 0.081$ (marginal).

Takeaways and Next Steps

Takeaways

- Evidence supports a post-policy increase in import value and quantity for high-gap products.

Next steps

- empty

Questions